

Tax Compliance and Planning

Study Framework
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Concept Maps

Stock Option Types — ISO vs. NQSO Tax Treatment

Compensatory Stock Options

Incentive Stock Options (ISO)

- Grant: no tax consequence

- Exercise: no regular tax; spread is AMT preference item

- Qualifying disposition (hold 2 yr from grant, 1 yr from exercise)

 - Gain = sale price - exercise price, taxed as LTCG

 - Employer gets no deduction

- Disqualifying disposition

 - Spread at exercise = ordinary income

 - Remaining gain = capital gain

 - Employer gets deduction equal to ordinary income recognized

Nonqualified Stock Options (NQSO)

- Grant: no tax if no readily ascertainable FMV

- Exercise: spread (FMV - exercise price) = ordinary income, subject to withholding

- Sale: gain/loss from FMV at exercise = capital gain/loss

- Employer deduction at exercise equal to employee's ordinary income

Loss Limitation Ordering Rules

Loss Limitation Hierarchy (applied in order)

1. Tax Basis Limitation
 - | S corp: stock basis + debt basis (direct loans only)
 - | Partnership: outside basis (includes partner's share of all liabilities)
 - | Losses exceeding basis are suspended and carried forward indefinitely
2. At-Risk Limitation (IRC 465)
 - | Amount at risk = cash invested + recourse debt + qualified nonrecourse financing (real estate)
 - | Losses limited to amount at risk
 - | Suspended losses freed up when at-risk amount increases
3. Passive Activity Loss Limitation (IRC 469)
 - | Passive losses offset only passive income
 - | Exception: \$25,000 rental real estate allowance (phases out \$100K-\$150K AGI)
 - | Real estate professionals exempt if material participation
 - | Suspended losses released on fully taxable disposition
4. Excess Business Loss Limitation (IRC 461(l))
 - | Noncorporate taxpayers: losses exceeding threshold become NOL carryforward
 - | Threshold: \$322,000 single / \$644,000 MFJ (2026, indexed)
 - | Applied after passive activity rules

Gift and Estate Tax Unified Framework

Transfer Tax System

- Gift Tax (Lifetime Transfers)
 - | Annual exclusion: \$19,000 per donee (2026)
 - | Unlimited marital deduction (spouse must be US citizen)
 - | Unlimited charitable deduction
 - | Taxable gifts reduce unified credit at death
 - | Donor pays gift tax; donee takes carryover basis
- Estate Tax (Transfers at Death)
 - | Gross estate: FMV of all property at date of death
 - | Deductions: debts, expenses, marital deduction, charitable deduction
 - | Unified credit: ~\$14.50M exemption (2026)
 - | Portability: unused exemption transfers to surviving spouse (election required)
 - | Beneficiaries receive stepped-up basis to FMV at date of death
- Generation-Skipping Transfer Tax (GSTT)
 - | Applies to transfers to skip persons (2+ generations below)
 - | Separate GST exemption (~\$14.50M in 2026)
 - | Flat rate equal to highest estate tax rate (40%)

Entity Type Comparison

Business Entity Selection

C Corporation

- Double taxation: corporate rate (21%) + shareholder dividend tax
- Unlimited shareholders, no restrictions
- Retained earnings accumulation (beware PHC and accumulated earnings tax)

S Corporation

- Flow-through: income/loss passes to shareholders
- 100 shareholders max, 1 class of stock, no NRA shareholders
- Reasonable compensation required; excess = distributions (no SE tax)

Partnership / LLC

- Flow-through: special allocations allowed (must have substantial economic effect)
- No entity-level tax (unless elects otherwise)
- General partners: SE tax on distributive share
- Flexible: can distribute different items to different partners

Sole Proprietorship

- Schedule C: all income subject to SE tax
- No liability protection
- Simplest formation and compliance

International Tax Provisions

US International Tax Framework

Subpart F Income

- | Certain passive and mobile income of CFCs included currently
- | Prevents deferral of easily shifted income
- | Insurance income, FPHCI, foreign base company sales/services

GILTI (Global Intangible Low-Taxed Income)

- | CFC tested income minus 10% of QBAI (tangible asset return)
- | Included in US shareholder's income currently
- | 50% deduction for C corps (effective 10.5% rate)

FDII (Foreign-Derived Intangible Income)

- | Incentive for domestic corporations serving foreign markets
- | 37.5% deduction (effective 13.125% rate)
- | Only available to C corporations

Foreign Tax Credit (FTC)

- | Credit for taxes paid to foreign governments
- | Limitation: $\text{US tax} \times (\text{foreign source income} / \text{worldwide income})$
- | Separate baskets: general, passive, GILTI

BEAT (Base Erosion and Anti-Abuse Tax)

- | Minimum tax on large corporations (>\$500M gross receipts)
- | Targets deductible payments to related foreign persons
- | 10% of modified taxable income (after adding back base erosion payments)

Section 302 Stock Redemption Tests

Section 302 Redemption Analysis

Constructive Ownership (IRC 318)

- Family attribution: spouse, children, grandchildren, parents
- Entity attribution: partnerships, corporations, trusts, estates
- Must apply before testing redemption treatment

Sale/Exchange Treatment Tests (any one is sufficient)

Substantially disproportionate (302(b)(2))

- After: <50% of total voting power
- After: voting stock % < 80% of before %
- After: common stock % < 80% of before %

Complete termination (302(b)(3)) — all stock redeemed; family attribution can be waived

Not essentially equivalent to a dividend (302(b)(1)) — meaningful reduction in interest (facts and circumstances)

Dividend Treatment (Default)

- If no test is met: treated as IRC 301 distribution
- Taxable as dividend to extent of E&P
- Basis of redeemed shares added to remaining shares

Trust Types and Taxation

Trust Classification and Tax Treatment

Grantor Trust

- Grantor retains certain powers (IRC 671-679)
- All income taxed to grantor (disregarded entity for income tax)
- Common: revocable living trusts, intentionally defective grantor trusts (IDGTs)

Simple Trust

- Required to distribute all income currently
- Cannot distribute corpus
- Cannot make charitable contributions
- Beneficiaries taxed on DNI; trust gets distribution deduction

Complex Trust

- May accumulate income, distribute corpus, make charitable gifts
- Distributions carry out DNI to beneficiaries (tier system)
- Undistributed income taxed to trust at compressed rates
- Highest bracket (37%) reached at ~\$16,150 (2026)

Entity Formation and Liquidation — Key IRC Sections

Tax-Deferred Formation and Taxable Liquidation

Formation (Tax-Deferred)

IRC 351 — Corporate Formation

- Property for stock; transferors must have 80% control immediately after
- Boot received triggers gain recognition
- Basis: substituted (carryover) basis in stock

IRC 721 — Partnership Formation

- No gain/loss recognized on contribution of property
- No control requirement (unlike 351)
- Basis: carryover basis; holding period tacks

Liquidation

IRC 331 — Shareholder Treatment

- Treated as sale/exchange of stock
- Gain/loss = FMV of distribution - stock basis

IRC 332 — Subsidiary Liquidation

- Tax-free to 80%+ parent corporation
- Parent takes carryover basis in assets (IRC 334(b)(1))
- Minority shareholders use IRC 331 rules

IRC 336 — Corporate-Level Gain/Loss

- Corporation recognizes gain/loss as if assets sold at FMV
- Exception: no gain/loss in IRC 332 liquidation to parent (IRC 337)

Constructive Ownership Rules (Section 267/318)

Constructive Ownership Attribution

Family Attribution (Section 267(c)(4))

- Spouse — stock attributed in both directions
- Siblings (whole and half-blood) — attributed to taxpayer
- Ancestors (parents, grandparents) — attributed to taxpayer
- Lineal descendants (children, grandchildren) — attributed to taxpayer
- NOT included: cousins, in-laws, step-relations (unless adopted), aunts, uncles

Entity Attribution

- Corporation ' 50%+ shareholder (proportional)
- Partnership ' partners (proportional to interest)
- Trust/estate ' beneficiaries (proportional)
- Reverse: 50%+ shareholder ' corporation; partner ' partnership; beneficiary ' trust

Option Attribution

- Option holder treated as owning the underlying stock
- Applies to all types of options (calls, warrants)

Key Threshold: More Than 50%

- Section 267: direct + constructive > 50% = related party
- Exactly 50% does NOT trigger related party status

Decision Trees

Entity Choice Decision Tree

Does the business need to retain earnings for growth and access public capital markets?

Yes: C corporation — 21% flat rate, unlimited shareholders, public offering capability, but double taxation on distributions

No: Are there 100 or fewer US-resident shareholders, and is one class of stock acceptable?

Yes: Is avoiding self-employment tax on distributed profits a priority?

Yes: S corporation — flow-through taxation, reasonable salary required, excess distributions avoid SE tax

No: Do the owners need flexible profit/loss allocations (special allocations)?

Yes: Partnership / LLC (partnership-taxed) — maximum flexibility, special allocations, but GP has SE tax

No: S corporation — simpler compliance than partnership, SE tax savings on distributions

No: Are there foreign owners, multiple classes of equity, or more than 100 investors?

Yes: Partnership / LLC or C corporation — S election not available; choose based on double taxation tolerance vs. flexibility needs

No: Sole proprietorship — simplest option for single owner; all income subject to SE tax

ISO vs. NQSO — Qualifying vs. Disqualifying Disposition

Is the stock option an Incentive Stock Option (ISO)?

- Yes:** Did the employee hold the stock for at least 2 years from grant date AND 1 year from exercise date?
- Yes:** Qualifying disposition — entire gain (sale price - exercise price) taxed as LTCG; no employer deduction
- No:** Disqualifying disposition — spread at exercise = ordinary income; additional gain = capital gain; employer gets deduction
- No:** NQSO — spread at exercise is always ordinary income (W-2); subsequent gain/loss is capital; employer always gets deduction at exercise

Section 302 Redemption — Dividend vs. Sale Treatment

After applying IRC 318 constructive ownership rules, was the shareholder's entire interest completely terminated (302(b)(3))?

- Yes:** Sale/exchange treatment — gain/loss = redemption proceeds minus stock basis
- No:** Is the redemption substantially disproportionate (302(b)(2))? (After: <50% voting power AND voting % < 80% of before %)
- Yes:** Sale/exchange treatment — gain/loss = redemption proceeds minus stock basis
- No:** Is the redemption not essentially equivalent to a dividend (302(b)(1))? (Meaningful reduction in proportionate interest — facts and circumstances)
- Yes:** Sale/exchange treatment — gain/loss = redemption proceeds minus stock basis
- No:** Dividend treatment (IRC 301) — distribution taxed as dividend to extent of E&P; basis of redeemed shares transfers to remaining shares

NOL Utilization — Pre-TCJA vs. Post-TCJA Rules

Was the net operating loss generated in a tax year beginning before January 1, 2018?

- Yes:** Pre-TCJA NOL — 2-year carryback (or election to waive), 20-year carryforward, can offset 100% of taxable income
- No:** Was the NOL generated in tax years 2018, 2019, or 2020?
- Yes:** CARES Act exception — 5-year carryback allowed, can offset 100% of taxable income in carryback years
- No:** Post-TCJA NOL (2021+) — no carryback, indefinite carryforward, limited to 80% of taxable income (before NOL deduction)

Passive vs. Active — Material Participation Test Flow

Did the taxpayer participate in the activity for more than 500 hours during the tax year?

- Yes:** Material participation met — income/loss is nonpassive (active)
- No:** Was the taxpayer's participation substantially all of the participation by all individuals (including non-owners)?
- Yes:** Material participation met — income/loss is nonpassive
- No:** Did the taxpayer participate more than 100 hours AND at least as much as any other individual?
- Yes:** Material participation met — income/loss is nonpassive
- No:** Did the taxpayer materially participate in any 5 of the prior 10 tax years?
- Yes:** Material participation met — income/loss is nonpassive
- No:** Material participation NOT met — activity is passive (losses subject to PAL rules under IRC 469)

Trust Classification — Simple vs. Complex vs. Grantor

Does the grantor retain a prohibited power or interest under IRC 671-679 (e.g., power to revoke, control beneficial enjoyment, borrow without adequate security)?

Yes: Grantor trust — all income taxed to grantor on the grantor's individual return; trust is disregarded for income tax

No: Is the trust required to distribute all income currently, prohibited from distributing corpus, and does it make no charitable contributions?

Yes: Simple trust — income distribution deduction equals DNI; beneficiaries report income; \$300 personal exemption

No: Complex trust — may accumulate income, distribute corpus, or make charitable gifts; undistributed income taxed at trust rates; \$100 personal exemption

Is the Interest Deductible Under Section 163(j)?

Does the taxpayer meet the small business exception (average annual gross receipts of \$30 million or less for 3 prior tax years)?

Yes: Section 163(j) does NOT apply — all business interest expense is fully deductible without limitation

No: Is the taxpayer a real property trade or business or farming business that has elected out of Section 163(j)?

Yes: Section 163(j) does NOT apply — interest is fully deductible, but ADS depreciation is required (40-yr nonresidential real property, 30-yr residential, 20-yr QIP). Election is irrevocable.

No: Does the business interest expense exceed the sum of business interest income + 30% of ATI (EBIT basis for 2022+)?

Yes: Excess interest is DISALLOWED in the current year — carried forward indefinitely to future years (subject to same 30% limitation). For partnerships: allocated to and tracked at partner level.

No: All business interest expense is DEDUCTIBLE — the 163(j) limitation is not binding in the current year

Formula Sheet

GILTI Computation	$\text{GILTI} = \text{Tested Income} - (10\% \times \text{QBAI}) - \text{Specified Interest Expense}$	Global Intangible Low-Taxed Income. QBAI = qualified business asset investment (average adjusted bases of tangible depreciable property). C corps get a 50% deduction, resulting in an effective 10.5% rate.
Foreign Tax Credit Limitation	$\text{FTC Limit} = \text{US Tax} \times (\text{Foreign Source Taxable Income} / \text{Worldwide Taxable Income})$	Maximum foreign tax credit claimable. Computed separately for each basket (general, passive, GILTI). Excess credits carry back 1 year, forward 10 years.
Gift Tax — Taxable Gifts	$\text{Taxable Gifts} = \text{Total Gifts} - \text{Annual Exclusions} - \text{Marital Deduction} - \text{Charitable Deduction}$	Annual exclusion is \$19,000 per donee (2026). Unlimited marital deduction for US citizen spouses. Gift-splitting available for married couples. Taxable gifts reduce lifetime unified credit.
Self-Employment Tax	$\text{SE Tax} = 92.35\% \times \text{Net SE Income} \times 15.3\% \text{ (up to SS wage base); } 2.9\% \text{ on excess}$	92.35% adjustment approximates the employer half. 15.3% = 12.4% Social Security (up to \$181,200 in 2026) + 2.9% Medicare (no cap). Additional 0.9% Medicare on earned income above \$200K/\$250K.
S Corp Stock Basis Ordering	$\text{Basis} = \text{Beginning} + \text{Income} + \text{Contributions} - \text{Nondeductible Expenses} - \text{Distributions} - \text{Losses/Deductions}$	Order matters: increase for income items first, then decrease for nondeductible/noncapital expenses, then distributions (tax-free to extent of remaining basis; excess is capital gain), then losses/deductions (limited to remaining basis). Per Reg. §1.1367-1(f), nondeductible expenses reduce basis before distributions and losses.
Distributable Net Income (DNI)	$\text{DNI} = \text{Taxable Income} + \text{Personal Exemption} + \text{Tax-Exempt Interest} - \text{Capital Gains Allocated to Corpus} + \text{Capital Losses}$	DNI caps the trust's distribution deduction and the amount taxable to beneficiaries. Prevents double taxation of trust income. Tax-exempt interest retains its character.

Section 199A QBI Deduction (Simplified)	QBI Deduction = Lesser of: (a) 20% of QBI, or (b) 20% of taxable income before QBI deduction (minus net capital gain)	Available to noncorporate taxpayers from pass-through entities. Phase-out for SSTBs above \$203,200/\$406,400 (2026). W-2/UBIA limitation applies above threshold: greater of 50% of W-2 wages or 25% of W-2 wages + 2.5% of UBIA.
Section 199A W-2/UBIA Limitation	QBI Deduction (above threshold) = 20% of QBI, limited to greater of: (a) 50% of W-2 wages, or (b) 25% of W-2 wages + 2.5% of UBIA of qualified property	Applies when taxable income exceeds \$203,200 single / \$406,400 MFJ (2026). UBIA = unadjusted basis immediately after acquisition of qualified property. Phases in over \$50K/\$100K range.
Estate Tax Computation	Estate Tax = (Gross Estate - Deductions) x Tax Rate - Unified Credit - Prior Gift Tax Credits	Gross estate includes all property at FMV (date of death or alternate valuation date). Unified credit shelters ~\$14.50M (2026). Top marginal rate is 40%. Portability allows surviving spouse to use deceased spouse's unused exemption.
Installment Sale Gross Profit Percentage	Gross Profit % = (Selling Price - Adjusted Basis - Selling Expenses) / Contract Price	Applied to each installment payment to determine taxable gain. Contract Price = Selling Price - Mortgage Assumed (to extent not exceeding basis). If mortgage exceeds basis, excess is treated as Year 1 payment and added to contract price. Depreciation recapture (Section 1245/1250) is recognized in full in Year 1 regardless.
Section 163(j) Business Interest Limitation	Deductible Interest = Business Interest Income + (30% x ATI) + Floor Plan Financing Interest	ATI is computed on EBIT basis (2022+); depreciation and amortization NOT added back. Disallowed interest carries forward indefinitely. Small business exception for taxpayers with average annual gross receipts < \$30M. Partnerships allocate disallowed interest to partners.

Reference Tables

Entity Comparison Table

Feature	C Corporation	S Corporation	Partnership	Sole Proprietorship
Formation	IRC 351 (tax-free if 80% control)	IRC 351 + S election	IRC 721 (tax-free, no control test)	No formal formation
Taxation	Double: 21% corporate + dividend tax	Flow-through to shareholders	Flow-through to partners	Schedule C on Form 1040
SE tax	Not applicable (salary + dividends)	Salary only; distributions exempt	GP: SE tax on distributive share; LP: generally exempt	All net income subject to SE tax
Owners	Unlimited; any type	Max 100; US individuals/certain trusts/estates only	Unlimited; any type	Single owner only
Liability	Limited (corporate veil)	Limited (corporate veil)	GP: unlimited; LP/LLC members: limited	Unlimited personal liability
Special allocations	Not available	Not available (1 class of stock)	Allowed (substantial economic effect)	N/A
Basis includes debt	No	Direct shareholder loans only	Yes — all partnership liabilities	N/A
Liquidation	IRC 331/336 (double tax)	IRC 331/336 (single tax — flow-through)	IRC 731 (generally tax-free)	No separate event

Retirement Plan Comparison

Plan	Contribution Limit (2026)	Employer Match	Key Rules
Traditional 401(k)	\$24,000 employee + \$71,000 total (with employer)	Discretionary; subject to ADP/ACP testing	Pre-tax contributions; RMDs at 73; 10% early withdrawal penalty before 59.5

Roth 401(k)	\$24,000 employee (same total limit)	Employer match goes to pre-tax account	After-tax contributions; qualified distributions tax-free; no income limit
Traditional IRA	\$7,000 (\$8,000 if 50+)	N/A	Deductible if no employer plan or below income limits; RMDs at 73
Roth IRA	\$7,000 (\$8,000 if 50+)	N/A	After-tax; tax-free growth; no RMDs for owner; income phase-out \$155K-\$170K single (2026)
SEP IRA	25% of compensation, max \$71,000	Employer contributes (must be uniform %)	Employer-only contributions; easy setup; no catch-up contributions
SIMPLE IRA	\$17,000 employee (\$20,500 if 50+)	Required: 2% nonelective or 3% match	For employers with 100 or fewer employees; 25% early withdrawal penalty in first 2 years

IRC Section Quick Reference

Section	Topic	Key Rule
IRC 83(b)	Property transferred for services	Election to recognize income at grant (not vesting); must file within 30 days
IRC 199A	QBI deduction	20% deduction for pass-through income; W-2/UBIA limitation above threshold; SSTB phase-out
IRC 267	Related party losses	Losses disallowed between related parties; deferred until gain recognition by transferee
IRC 302	Stock redemptions	Sale treatment if substantially disproportionate, complete termination, or meaningful reduction
IRC 318	Constructive ownership	Family, entity, and option attribution rules for determining stock ownership
IRC 332	Subsidiary liquidation	Tax-free liquidation to 80%+ parent corporation; carryover basis under 334(b)(1)
IRC 336	Liquidating distributions	Corporation recognizes gain/loss as if sold at FMV; exception for 332 liquidations (IRC 337)
IRC 351	Corporate formation	Tax-free transfer of property for stock if transferors have 80% control immediately after
IRC 409A	Deferred compensation	Strict timing rules for deferral elections and distributions; 20% penalty + interest for violations
IRC 465	At-risk rules	Losses limited to amount taxpayer has at risk (cash + recourse debt + qualified nonrecourse for real estate)
IRC 469	Passive activity losses	Passive losses only offset passive income; \$25K rental allowance; released on disposition
IRC 704(c)	Partnership contributed property	Built-in gain/loss allocated to contributing partner; prevents shifting pre-contribution gain/loss
IRC 721	Partnership formation	No gain/loss on contribution of property to partnership; carryover basis
IRC 743(b)	Partnership basis adjustment	Optional step-up in basis of partnership assets on transfer of partnership interest (requires 754 election)
IRC 754	Basis adjustment election	Partnership election for inside basis adjustments on transfers (743b) and distributions (734b)

Gift and Estate Tax Exemption Amounts (2026)

Item	Amount	Notes
Annual gift exclusion	\$19,000 per donee	Indexed for inflation; doubles with gift-splitting
Lifetime unified credit exemption	~\$14.50 million	H.R. 1 extended elevated exemption through 2029 (was scheduled to sunset after 2025)
Top estate/gift tax rate	40%	Applied to taxable estate/gifts above exemption
GST exemption	\$13.99 million	Separate from estate tax exemption; also extended by H.R. 1 through 2029

Marital deduction	Unlimited	Spouse must be US citizen; QDOT required for non-citizen spouse
Charitable deduction	Unlimited	Available for both gift and estate tax purposes
Portability	Deceased spouse's unused exemption (DSUE)	Must file estate tax return (Form 706) to elect; not available for GST exemption

Material Participation Tests (IRC 469)

Test #	Description	Hours/Criteria
1	Participation exceeds 500 hours	500+ hours during the tax year
2	Substantially all participation	Taxpayer's participation constitutes substantially all participation by all individuals
3	Significant participation + most of any person	100+ hours AND not less than any other individual
4	Significant participation activities aggregate	All significant participation activities (100+ hrs each) total 500+ hours
5	Material participation in 5 of prior 10 years	5 of the 10 preceding tax years
6	Personal service activity — 3 prior years	Any 3 preceding tax years (for personal service activities only)
7	Facts and circumstances	Regular, continuous, and substantial involvement (100+ hours, but never if <100 hours)

International Tax Provision Comparison

Provision	Applies To	Rate / Mechanism	Purpose
Subpart F	US shareholders of CFCs	Current inclusion of passive/mobile income	Prevent deferral of easily shifted income
GILTI	US shareholders of CFCs	Tested income - 10% QBAI; 50% deduction for C corps	Minimum tax on CFC earnings above routine return on assets
FDII	Domestic C corporations	37.5% deduction (effective 13.125% rate)	Incentive to earn and keep IP income in the US
FTC	US taxpayers with foreign income	Credit limited by (foreign income / worldwide income) x US tax	Prevent double taxation of foreign-source income
BEAT	Corps with \$500M+ gross receipts	10% of modified taxable income	Minimum tax targeting base erosion through related-party payments

Debt vs. Equity Tax Characteristics

Characteristic	Debt	Equity
Returns to holder	Interest (deductible by payor)	Dividends (not deductible by payor)
Maturity	Fixed date for repayment	No maturity; perpetual
Payment obligation	Unconditional; enforceable	Contingent on earnings and board discretion
Priority in liquidation	Senior to equity	Residual claimant after all debt
Holder voting rights	None (typically)	Voting rights on governance
Reclassification risk	May be reclassified as equity if factors point to disguised equity	N/A
Section 385 documentation	Required for related-party debt (written obligation, creditor rights, repayment evidence)	Not applicable
Proportionality concern	High risk if debt held in same ratio as stock	N/A

Involuntary Conversion Replacement Periods (Section 1033)

Type of Conversion	Replacement Period	Property Standard
General (casualty, theft, destruction)	2 years from close of first tax year gain is realized	Similar or related in service or use
Condemned real property (productive use/investment)	3 years from close of first tax year gain is realized	Like-kind (more relaxed standard)

Presidentially declared disaster (business/investment real property)

4 years from close of first tax year gain is realized Like-kind

Livestock (disease)

2 years from close of first tax year gain is realized

Similar or related in service or use

Livestock (drought/weather)

4 years from close of first tax year gain is realized

Like-kind (other livestock)

Section 267 Related Party Categories

Category	Relationship	Ownership Threshold
Family members	Siblings (whole/half), spouse, ancestors, lineal descendants	N/A — automatically related
Individual & corporation	Individual owns stock in a corporation	More than 50% (by value, direct + constructive)
Two corporations (controlled group)	Common ownership in both corporations	More than 50% common ownership
Grantor & trust	Grantor and fiduciary of trust created by grantor	N/A — automatically related
Trust fiduciary & beneficiary	Fiduciary and beneficiary of the same trust	N/A — automatically related
Corporation & partnership	Same persons own both entities	More than 50% of each
Two partnerships	Same persons own capital/profits in both	More than 50% of each
Executor & beneficiary	Executor of estate and beneficiary of same estate	N/A — automatically related

Mnemonics

BAP-E

Basis, At-risk, Passive activity, Excess business loss

The mandatory ordering of loss limitation rules. Each limitation is applied in sequence: losses must first pass the basis test, then at-risk, then passive activity, and finally excess business loss.

100-1-No NRA

100 shareholders, 1 class of stock, No Nonresident Aliens

The three key S corporation eligibility requirements. Also: shareholders must be individuals, certain trusts, or estates (no C corps or partnerships). Must be a domestic corporation.

CPS-80

Control, Property, Stock, 80%

Section 351 tax-free corporate formation requirements: transferors must transfer Property solely for Stock and have 80% Control immediately after the exchange. Boot received triggers gain recognition.

DNI-DD

DNI Determines Distribution Deduction

Distributable Net Income caps both the trust's distribution deduction and the amount taxable to beneficiaries. DNI is the ceiling for the distribution deduction — distributions in excess of DNI are tax-free return of corpus.

GILTI-Q

GILTI = Tested Income minus 10% of QBAI

Quick GILTI formula: subtract 10% of qualified business asset investment (deemed tangible return) from CFC tested income. The excess is GILTI, included currently in US shareholder income. C corps get a 50% deduction.

FACETS

Five hundred hours, All participation, Cent (100) hours + most, Earlier 5 of 10 years, Three prior years (PSA), Substantial involvement (facts)

Memory aid for the material participation tests under IRC 469. Meeting any single test establishes material participation and makes the activity nonpassive.

ISO-21

2 years from grant, 1 year from exercise

The holding period requirements for ISO qualifying disposition treatment. Both periods must be met for the entire gain to be taxed as long-term capital gain. Failing either period results in a disqualifying disposition with ordinary income on the spread.

SLED

Stock basis, Loans (direct only), E&P (AAA ordering), Distributions

S corporation shareholder basis framework. Unlike partnerships, only direct loans from the shareholder increase debt basis. Distributions reduce stock basis first (tax-free to extent of basis), then loan basis.